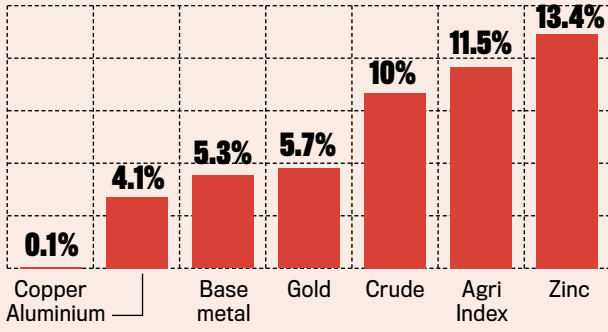
SOARING HIGH

THE UKRAINE WAR, SUPPLY ISSUES & POST-COVID DEMAND ARE INFLATING INPUT COSTS

MOVEMENT OF MAJOR COMMODITY PRICES

Since Feb. 10, 2022



PRICES OF MAJOR COMMODITIES

Zinc	$1,800/ tonne	$4,500/ tonne
Copper	$4,800/ tonne	$10,800/ tonne
Aluminium	$1,300/ tonne	$3,300/ tonne
Nickel	$12,000/ tonne	$34,000/ tonne
Lead	$1,600/ tonne	$2,400/ tonne
Aluminium Alloy	₹110/ kg	₹225/ kg
Aluminium extrusion	₹146/ kg	₹284/ kg
Copper Rod	₹396/ kg	₹855/ kg
Mild Steel	₹40,000/ tonne	₹80,000/ tonne
Stainless Steel (304)	₹150/ kg	₹300/ kg
Nitric Acid	₹28/ kg (Apr. 2019)	₹74/ kg
Soda Ash	₹22/ kg	₹34/ kg
Caustic Soda	₹22/ kg	₹67/ kg
Sulphuric Acid	₹4/ kg	₹13/ kg

BEARING THE BRUNT

How prices of some key inputs for manufacturers have risen in just two years, eroding their profitability



April 2020 April 2022

(Source: COSIA/ FISME)

Cotton prices, for instance, have gone up by nearly 100 per cent. Brass and copper are being sold like gold, says Joneja. Since the pandemic, a lot of purchases are being made cash down, especially by micro and small entrepreneurs. Capital gets blocked because of that and payment timelines get stretched from beyond 30 days to 60 and 90 days. MSMEs are also crying hoarse about cartelisation. Cotton spinners, for instance, are slated to see record profits in FY22, even as cotton prices doubled to breach the Rs 90,000 mark per candy of 356 kg since February 2021. Local cotton rates have exceeded global rates by as much as Rs 1,500-2,000 per quintal.

FMCG giant Dabur India claims it saw an increase of over 13 per cent in prices of raw materials, such as hydrocarbon derivatives, paper-based packing material, raw honey, edible oil and some key spices, in the third quarter of FY22. "We offset part of that inflationary impact through calibrated price increases of around 5 per cent in the third quarter itself in key products across health supplements, ayurvedic over-the-counter products, ethicals, hair oils and toothpaste," says Mohit Malhotra, CEO, Dabur India. "The inflationary pressures and resultant price increases have led to consumers tightening their purse strings and relooking at discretionary purchases while also downgrading to smaller packs. The situation is extremely volatile due to the ongoing geopolitical environment and the pressure on margins remains. We are closely watching the situation and will undertake calibrated price increases, besides rolling out cost optimisation initiatives, to mitigate the inflationary pressures." Meanwhile, automakers such as Hero MotoCorp, Tata Motors and other luxury carmakers have announced a realignment of their prices. On March 29, two-wheeler major Hero MotoCorp announced it will make an upward revision in the ex-showroom prices of its motorcycles and scooters in April.

HOW TO BEAT INFLATION

So far, in its effort to spur growth in the pandemic-ravaged economy, the RBI had kept key policy rates unchanged. The central bank stuck to its stance in the April 8 monetary policy review. However, some experts are now asking if the RBI should take tougher measures like a hike in repo rates (rates at which the RBI lends to commercial banks) to rein in inflation. In fact, the central bank has signalled a gradual shift from its "accommodative stance" during the two years of the pandemic, which means it is preparing to curtail the money supply in the coming months, sacrificing growth. "In the sequence of priorities, we have now put inflation before growth," Shaktikanta Das, RBI gov-